# David Morales

davidsmorales.github.io • david.morales@tse-fr.eu • +33 (0)6 0359 3011 • Citizenship: Mexican
Office T345, 1 Esplanade de l'Université, Toulouse, France

## References

**Matteo Bobba**
TSE
matteo.bobba@tse-fr.eu

**Milo Bianchi**
TSE
milo.bianchi@tse-fr.eu

**Eugenia González-Aguado**
TSE
eugenia.gonzalez@tse-fr.eu

**Costas Meghir**
Yale University
c.meghir@yale.edu

## Fields

**Main:** Development economics, Labor economics, Applied microeconomics.
**Secondary:** Macroeconomics, Public economics.
**Research interests:** Informality, firm dynamics, bank loans, financial frictions, wage dispersion, fiscal policy.

## Education

**Ph.D. in Economics - Toulouse School of Economics (TSE)**
Toulouse, FR | Expected: June 2027
- Main advisor: Matteo Bobba

**Visiting Ph.D. student - Yale University**
New Haven, US | Fall 2025
- Host: Costas Meghir

**Master's in Economic Theory and Econometrics - Toulouse School of Economics (TSE)**
Toulouse, FR | 2020–2022
- Thesis: "Taxation, minimum wage, unemployment, and informality. The 2019 reforms in the north of Mexico".

**Academic Exchange Program - Torcuato Di Tella University (UTDT)**
Buenos Aires, AR | Spring 2015
- Participated in the courses of the last year of the bachelor program.

**Bachelor's degree in economics - Center for Research and Teaching in Economics (CIDE)**
Mexico City, MX | 2012–2016
- Graduated with honors.
- Thesis: "The importance of start-up capital. The impact on technical efficiency of microenterprises in Mexico".

## Job Market Paper

**Formality as a Financing Decision** (with Daniela Puggioni).

Can bank loans make informal firms formalize? We match the universe of bank loans, the social security records, and the economic censuses in Mexico to track formality, loans, and firm transitions from 2005 to 2025. Three facts emerge. Three quarters of firms with a bank loan are informal; informal firms pay higher rates, provide more collateral on collateralized loans, and obtain smaller loans; and firms move between formality and informality in both directions. We develop a model in which firms that need a loan and are at the margin between being formal and being informal change their status when the relative terms or availability of loans change. Leveraging bank credit supply shocks, we find that a ten percent credit supply expansion widens the financial advantage of formal firms and, as the model predicts, raises the number of firms that formalize by 850 (0.5 percent) and lowers the number of firms that become informal by 600 (0.4 percent) per five-year window in our sample markets. We demonstrate that bank loans affect not only formal firms but also informal ones, and are a lever for formalization.

## Working Paper

**Why Are Firm Effects More Dispersed in Developing Countries? Evidence from Mexico** (with Matteo Bobba, Tim Ederer, Luca Flabbi, and Daniela Puggioni).

A large literature that decomposes wage inequality into worker and firm components finds that firm effects explain a larger share of wage dispersion in developing countries than in advanced economies. This paper argues that the informal sector explains it. Using the economic census and matched employer-employee data from Mexico's manufacturing sector, we estimate AKM two-way fixed effects models and show that labor markets with more informality have firm effects that are more dispersed, explain a larger share of wage variance, and are lower on average. This evidence motivates a labor market model with imperfect competition, compensating differentials, and informality. This framework allows us to decompose the estimated AKM firm effects into productivity pass-through, amenities, and market power. The estimation is ongoing and will allow us to quantify how much of the dispersion in firm effects reflects informality.

## Work in Progress

- Credit, Informality, and Aggregate Outcomes: A Structural Model of Firm Dynamics.
- How Firm Shocks Reach Workers: Credit Supply, Wages, and Employment.
- Who Bears the Cost of Domestic Sovereign Borrowing? Bank Credit and Informal Firms.

## Presentations

- 2026: Yinghua He Empirical Micro Workshop (TSE), NOVAfrica PhD Workshop (Lisbon), ENTER-Exchange Seminar (Stockholm, scheduled), CEPR Paris Symposium (poster, scheduled).
- 2025: ENTER Jamboree at SSE (Stockholm), Development breakfast (Yale University), Labor breakfast (Yale University), Macroeconomics Workshop (TSE), BID Workshop (TSE).
- 2024: Macroeconomics Workshop (TSE) and BID Workshop (TSE).
- 2023: Public Economics Workshop (TSE).

## Policy and Research Experience

**Mexican Ministry of Finance and Public Credit (SHCP) – Deputy Director, Office of the Chief Economist**
Mexico City, MX | 2016–2020

- Co-authored sections of the annual macroeconomic and fiscal framework (Pre-Criterios and Criterios Generales de Política Económica) and the quarterly public finance reports.
- Analyzed existing and alternative fiscal rules for Mexico, fiscal sustainability, and the fiscal cost of gasoline tax subsidies.
- Produced and analyzed economic-activity and public-finance data for the annual economic program, quarterly reports, and assessments by the IMF (Article IV), credit-rating agencies, and other international organizations.
- Collaborated with the IMF mission on Mexico's Fiscal Transparency Evaluation (2018), with written recognition from the mission.
- Co-authored technical notes on macroeconomic, financial, and fiscal issues for the Ministry's senior decision makers.

**TSE – Research assistant for Matteo Bobba**
Toulouse, FR | 2024

- Implemented a wage variance decomposition for matched employer-employee administrative data from Mexico.

**TSE – Research assistant for Takuro Yamashita**
Toulouse, FR | 2021

- Provided editorial and substantive feedback on working papers in game theory.

**CIDE – Research assistant for Fausto Hernández Trillo**
Mexico City, MX | 2015

- Analyzed data from Mexico's National Banking and Securities Commission using Stata, improving the efficiency and reproducibility of the analysis.

## Teaching Experience

- Teaching Assistant of Public Economics (TSE Master's level) for Helmuth Cremer (2022–2025).
- Teaching Assistant of Microeconomics (TSE Undergraduate level) for Philippe Alby (2022–2023).
- Teaching Assistant of Introductory Econometrics (TSE Undergraduate level) for François Poinas (2023–2024).
- Teaching Assistant of Macroeconomics II (CIDE Undergraduate level) for Arturo Antón Sarabia (2014-2015).

## Professional Service

- PhD Coordinator of the European Network for Training in Economic Research (ENTER), from March 2023 to June 2026.
- Co-organizer of the Yinghua He Empirical Micro Workshop at TSE, from July 2024 to May 2025.
- Co-organizer of the Behavioral, Institutions, and Development Workshop at TSE, from September 2024 to May 2025.

## Grants and Awards

- Mobility grant for visiting Yale University (2025).
- Merit- and geography-based Jean-Jacques Laffont Scholarship for my M2 in Economic Theory and Econometrics (2021–2022).
- Merit-based Adolf Horn scholarship from MOB (non-profit organization) for master's studies (2020).
- Excellence scholarship for best semester GPA in the cohort (Aug – Dec 2013).

## Additional Training

- Dynamic Structural Econometrics summer school, University of Wisconsin-Madison, w/grant (2024).
- Fiscal Sustainability course, International Monetary Fund, Brasília, Brazil (Sep 2018).

## Skills

- Computer skills: Stata, LaTeX, R, MATLAB, SAS, EViews, Bloomberg Terminal, Office, & Python.
- Languages: Spanish (Native), English (Fluent), French (B2), Italian (basic).